

world trading environment (i.e., there is a look-ahead bias because we don't know the weights until after the period ends). Meanwhile, the out-of-sample mean-variance results (labeled “mv”), which we would earn if we were to pursue this strategy in the real world, are atrocious!

Table 6.7 Asset Allocation Models Empirical Results—Sharpe Ratios

Strategy	S&P sectors N = 11	Industry portfolios N = 11	Inter'l portfolios N = 9	Mkt/ SMB/HML N = 3	FF 1- factor N = 21	FF 4- factor N = 24
1/N	0.1876	0.1353	0.1277	0.2240	0.1623	0.1753
mv (in-sample)	0.3848	0.2124	0.2090	0.2851	0.5098	0.5364
mv	0.0794	0.0679	(0.0332)	0.2186	0.0128	0.1841
bs	0.0811	0.0719	(0.0297)	0.2536	0.0138	0.1791
dm (sa = 1.0%)	0.1410	0.0581	0.0707	0.0016	0.0004	0.2355
min	0.0820	0.1554	0.1490	0.2493	0.2778	(0.02)
vw	0.1444	0.1138	0.1239	0.1138	0.1138	0.1138
mp	0.1863	0.0533	0.0984	(0.00)	0.1238	0.1230
mv-c	0.0892	0.0678	0.0848	0.1084	0.1977	0.2024
bs-c	0.1075	0.0819	0.0848	0.1514	0.1955	0.2062
min-c	0.0834	0.1425	0.1501	0.2493	0.1546	0.3580
g-min-c	0.1371	0.1451	0.1429	0.2467	0.1615	0.3028
mv-min	0.0683	0.0772	(0.0353)	0.2546	(0.01)	0.1757
ew-min	0.1208	0.1576	0.1407	0.2503	0.2608	(0.02)

The punch line of the DeMiguel et al. article is stunning—equal-weight portfolios meet or beat all of the fancy portfolios. In their own words: